AD-HOC OPINION · INSURANCE

Prudential: growth outside China offsets a regulatory setback

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Market data as of 12 November 2026.

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Prudential now focuses entirely on Asia and Africa, where it holds top-three positions in many markets. A change in bank-channel rules in mainland China has slowed new business in 2026, while the rest of the group keeps growing at a double-digit rate.

Asian life insurance: long-term demand, short-term regulation

A large protection gap

Rising incomes and limited public safety nets in much of Asia support long-term demand for life, health and savings products. Insurers reach customers through two main channels: tied agents and banks (bancassurance). For Prudential, the bank channel produced USD 586m of new business profit in the first half of 2026, 42% of the group total, through more than 180 partner banks.

Regulators set the pace

In mainland China, new rules on expenses paid in the bancassurance channel have constrained sales in 2026. Prudential's joint venture, CITIC Prudential Life, saw new business profit fall sharply in the third quarter, also because of a high comparison base in July and August 2025. Elsewhere, repricing in Hong Kong has supported margins.

What this means for investors

Asian life insurance remains a structural growth story, but regulation can change the pace from one year to the next. For Prudential, the China setback is limited in size; the key question is whether growth outside China can keep the group on track for its 2027 targets.

Prudential plc PRU LN

An Asia and Africa pure play, growing outside China while China resets

Market capitalisation	New business profit, 9M 2026	Growth outside China, Q3 2026	Share buyback by end 2026
GBP 23.5bn	**USD 2.09bn**	**+13%**	**USD 1.5bn**

1. What the company does

Prudential sells life, health and savings products in Asia and Africa, through agents and more than 180 partner banks. Its key markets include Hong Kong, mainland China through CITIC Prudential Life, Thailand, Taiwan and India.

2. Why it could do well

Outside mainland China, new business profit grew 13% in the third quarter of 2026, driven by Hong Kong, Thailand and Taiwan, and the bank channel grew by more than 20%. Over nine months, group new business profit reached USD 2.09bn, up 6% at constant exchange rates. The group targets 15 to 20% annual growth in new business profit from 2022 to 2027.

3. What sets it apart

Few insurers combine leading positions in so many Asian markets with a bank network of this size. The planned purchase of a 75% controlling stake in Bharti Life, subject to regulatory approval, would strengthen the group in India.

4. Is the share cheap?

The market value is about GBP 23.5bn. Management targets at least USD 4.4bn of operating free surplus generation in 2027, the cash available for growth and shareholder returns, and plans USD 1.5bn of buybacks by the end of 2026. Delivery on the 2027 target is the main support for the valuation; a shortfall would remove the key argument.

5. Main risks

China could weigh for longer: management expects new business profit there to fall 10 to 15% in 2026 and now sees group 2026 guidance as more stretching than in August. Group new business profit grew only 1% in the third quarter. The Bharti Life deal still needs approval, and reliance on banks makes the group sensitive to distribution rules.

6. What to watch next

The full-year 2026 results: growth outside China and the size of the China decline. Any sign that bank-channel sales in China stabilise. Completion of the buyback and of the Bharti Life acquisition, and progress towards the USD 4.4bn target.

Conclusion

Prudential could suit an investor seeking long-term exposure to Asian growth through a single stock. The China setback is real but limited, and the rest of the group is growing at a double-digit rate. The full-year results will show whether the 2027 targets remain within reach.

Sources

- Syz Research, Bloomberg; AlphaSense (market data as of 12 November 2026).
- Prudential plc, Q3 2026 business performance update, 5 November 2026.
- Prudential plc, 2026 half year results and half year financial report, 27 August 2026.
- Press reports on the Bharti Life acquisition and bancassurance in mainland China.

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